

Taiwan Microloops (6831 TT)

Share price (6 Jul): TWD859.00

12-mth rating: **Buy (1)**

Industrials: Taiwan

Record-high monthly revenue for June exceeded our expectations

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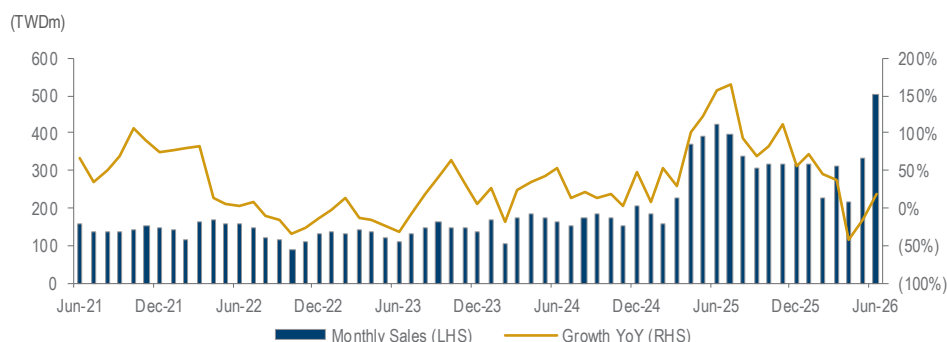
Summary: Microloops reported record-high monthly revenue for June 2026 on 6 July 2026, reaching TWD503m (+52.4% MoM and +19.4% YoY; +8.8% YoY for 6M26). Its 2Q26 revenue accounted for 105.4% and 72.9% of our and the consensus forecasts for 2Q26 revenue, respectively, which we attribute to better-than-expected demand for ASIC AI servers.

We have a Buy (1) rating and 12-month TP of TWD1,150, based on a target PER of 40x applied to our one-year-forward EPS estimate. For more information on the company, please refer to our latest initiation report, [Initiation: ASIC thermal solutions share heating up](#), published on 18 June 2026.

What's the impact

- **Record-high monthly revenue for June beats our expectations.** On 6 July, Microloops reported monthly revenue of TWD503m for June 2026 (+52.4% MoM and +19.4% YoY; +8.8% YoY for 6M26), a record-high; 2Q26 revenue (TWD1,047m, +22.5% QoQ and +0.6% YoY) accounted for 105.4% and 72.9% of our (TWD993m, +16.3% QoQ and -4.6% YoY) and the Bloomberg consensus forecasts, respectively. We attribute the upbeat June revenue to better-than-expected air-cooling demand for ASIC AI servers. Based on the current order visibility, we expect solid monthly sales in July and August 2026, likely reaching another record high.

Microloops: consolidated monthly sales



Source: Company

- **Potential to gain market share with operating margin expansion.** We forecast Microloops' revenue to grow at a 100.0% CAGR over 2026-28E, with margin expansion driven by: 1) rising operating leverage – Microloops' opex ratio has been declining as revenue scales, a trend we expect to continue given strong order visibility and growing demand for thermally efficiency AI servers; 2) an improving product mix – a shift toward higher-margin segments; and 3) spec upgrades – rising thermal performance requirements in upcoming ASIC generations should lift Microloops' ASPs.

What we recommend

We have a Buy (1) rating and 12-month TP of TWD1,150, based on a target PER of 40x applied to our 1-year forward EPS forecast. Based on our 2026/26E EPS, the stock is currently trading at PERs of 54.6x/20.7x, vs. its past-3-year trading range of 7-39x. Key downside risk: weaker-than-expected global AI server demand; slower-than expected progress in ASIC AI server development.

In the interests of timeliness, this document has not been edited.

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Rating	Percentage of total
Buy*	72.63%
Hold**	20.53%
Sell***	6.84%

Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 June 2026.

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